Fiscal Redistribution and the Political Influence of Wealth*

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Abstract

Countries with similar income inequality before taxes and transfers redistribute very differently. To explain these differences, I develop a heterogeneous-agent general-equilibrium model in which a decisive voter chooses tax progressivity. A parameter, the wealth bias of political influence, sets the voter's position in the wealth distribution. Holding preferences and technology common across countries, I recover each country's wealth bias from how much its taxes and transfers lower the income Gini. Data on the political influence of wealth accounts for 45% of the variance of the recovered bias. Under the average bias of the four largest Nordic countries, Mexico, with its own earnings dispersion and government size, would lower its income Gini by 39% instead of 2%. Restoring one person one vote would raise average welfare in 34 of 37 countries, by up to 3.1% of consumption; in Chile, the poorest fifth of households by wealth would gain 11% and the richest fifth would lose 2%.

Keywords: redistribution, fiscal policy, political economy of taxation, political influence of wealth, wealth bias, heterogeneous agents.

JEL codes: D31, D72, E62, H23.

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1 Introduction

Countries with similar income inequality before taxes and transfers redistribute very differently. Taxes and transfers lower the income Gini by 5% in Chile and by 39% in Ireland, two countries whose Ginis before taxes and transfers are nearly the same. The standard explanation in the political economy tradition ties redistribution to the demand for it: the more unequal the economy, the more the median voter gains from redistribution (Meltzer and Richard, 1981). The data does not support this prediction. If anything, countries that are more unequal before taxes and transfers redistribute less. I argue that these differences reflect how much political influence wealth carries. Tax progressivity is a policy choice, and redistribution follows from it: where wealth has more influence, countries choose less progressivity and redistribute less.

This paper examines to what extent differences in the political influence of wealth account for the cross-country differences in redistribution. I measure redistribution as the percentage fall in the income Gini from before to after taxes and transfers. Differences in tax policy across countries can come from preferences, technology, or the institutions through which policy is chosen. To quantify the last of these, I develop a model in which a decisive voter chooses tax progressivity and a parameter, the wealth bias of political influence, sets her position in the wealth distribution. The main result is that, holding preferences and technology common across countries, the political influence of wealth accounts for the cross-country differences in redistribution. The influence each country requires to match its observed redistribution correlates at +0.67 with data on the political influence of wealth, and the model quantifies what that influence costs in welfare.

I document three stylized facts about what taxes and transfers do to income inequality across countries (Figure 1). First, the effect of taxes and transfers on income inequality differs widely: the Gini before taxes and transfers is similar across countries, while the Gini after them varies much more. Second, redistribution is a persistent country characteristic; differences between countries account for 87% of its variation across countries and years.[1] Third, redistribution correlates with data on the political influence of wealth.[2] Read together, the first two facts show persistently different policy choices among countries with similar inequality before taxes and transfers, which points to the institutions through which progressivity is chosen. The third points to one feature of those institutions, how much political influence wealth carries.

To explain these facts, I develop a general-equilibrium Bewley–Huggett–Aiyagari heterogeneous-agent model (Bewley, 1986; Huggett, 1993; Aiyagari, 1994). My model has two key features: (i) tax progressivity[3] is chosen endogenously by a decisive voter who takes into account how it moves the wage and the interest rate,[4] and (ii) the wealth-bias parameter sets the voter's position in the wealth

[1] This share uses annual data for 36 countries; Mexico, with six annual observations, is left out.

[2] The data consists of two expert-coded indicators, of how political power is distributed by wealth and socioeconomic position and of how electoral competition is financed.

[3] Taxes and transfers follow the tax function of Bénabou (2002) and Heathcote et al. (2017): taxes paid as a share of income rise with income at a rate set by one progressivity parameter, and low incomes receive net transfers.

[4] Households are atomistic and take prices as given when making market decisions. When they vote, they evaluate

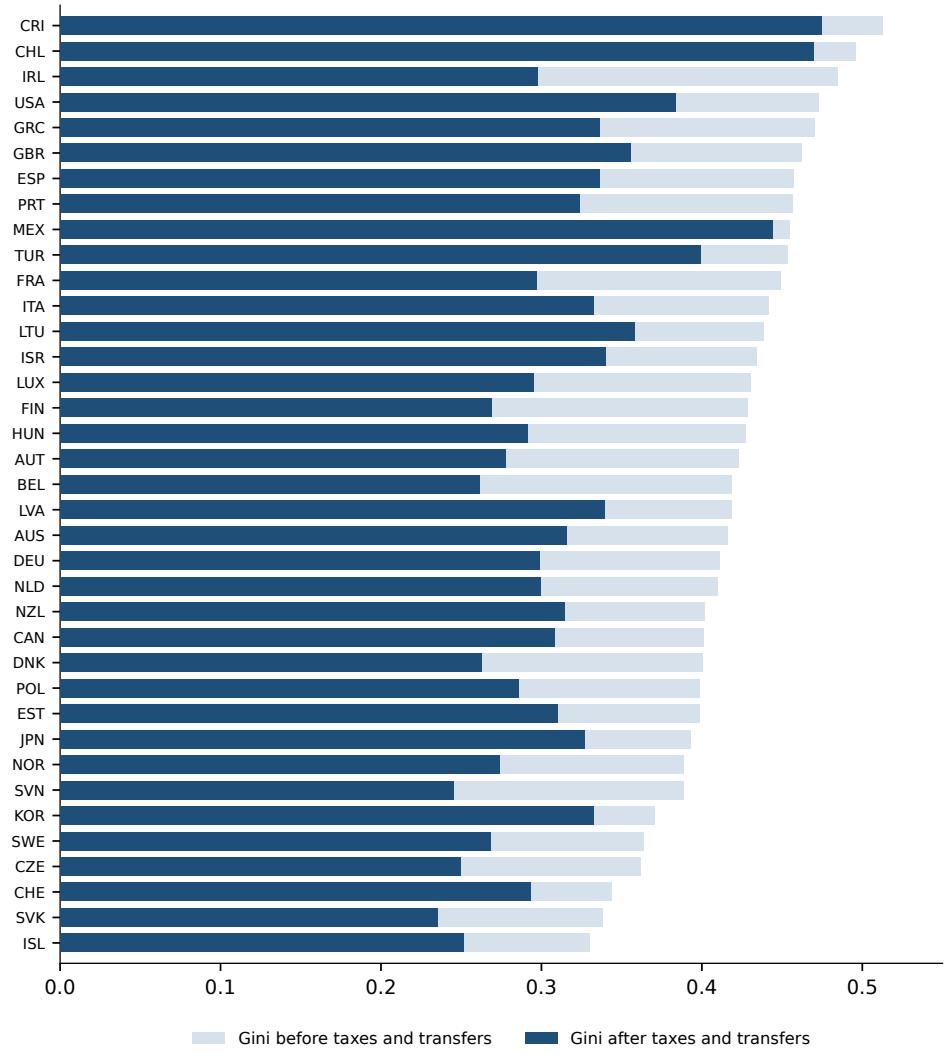


Figure 1: The income Gini before and after taxes and transfers. For each country, the light bar is the working-age income Gini before taxes and transfers and the solid bar the Gini after them, means over 2012–2021; the light remainder is the fall in the Gini from taxes and transfers. Countries are ordered by the Gini before taxes and transfers. *Source:* OECD Income Distribution Database.

distribution.[5] I calibrate the model for 37 countries: earnings dispersion and government size come from each country's data, and preferences, technology, and the persistence of earnings are common to all countries. I recover the wealth-bias parameter for each country so that the model matches its observed redistribution, and I call these values the recovered bias. The main quantitative result shows that differences in the wealth bias account for the cross-country differences in redistribution.

progressivity at the prices it induces in equilibrium. Krusell and Ríos-Rull (1999) and Corbae et al. (2009) make the same assumption.

[5]The wealth-bias parameter p is the decisive voter's percentile in the wealth distribution. At $p = 0.5$ the decisive voter is the median, one person one vote; p above or below the median describes institutions that give more weight to wealthier or poorer citizens. The parameter is a reduced-form pivot: it places the decisive voter in the wealth distribution without modeling the institutions that put her there.

The recovered bias correlates at +0.67 with data on the political influence of wealth (Figure 7).[6] The model predicts, for example, that under the average bias of the four largest Nordic countries, taxes and transfers in Mexico would reduce the income Gini by 39% instead of 2%.

The main intuition behind these results is that the direct effect of progressivity makes the demand for it fall with wealth, while its indirect general-equilibrium effects moderate that fall. Regarding the direct effect, progressivity acts as insurance against idiosyncratic earnings risk, and wealthier households pay more of its cost, so the wealthier the decisive voter, the less progressivity she chooses. However, the indirect general-equilibrium effects offset part of this direct effect: progressivity lowers saving, which raises the interest rate and benefits wealthy households, so even a wealthy decisive voter chooses a progressive tax.[7] Additionally, a low-wealth decisive voter understands that higher progressivity lowers saving and therefore the wage, so she prefers a somewhat lower progressivity than she would if prices did not respond. The wealth bias moves redistribution through these two channels: the fall in the demand for progressivity with wealth makes the decisive voter's position matter, and general equilibrium moderates how much it matters.

How much political influence wealth carries also has welfare implications. The model shows that restoring one person one vote, so that the median voter decides, raises average welfare in 34 of the 37 countries; the welfare gains range from 0.01% to 3.1% of consumption.[8] The cost arises because the decisive voter weighs only her own benefit and cost of progressivity: where she is wealthy, the insurance and redistribution she chooses fall short of what the average household would vote for, and where she is poor, she chooses progressivity the average household would vote against. The median-voter equilibrium is close to the choice that gives every household the same weight within the class of tax functions I study, so large biases in either direction lower average welfare, and the loss grows with the size of the bias. The welfare cost of the bias can be large, depending on the country and on the household's wealth: in Chile, for example, the bottom wealth quintile would gain 11% of consumption.

I contribute to two fields of the literature: first, taxation and macro-quantitative heterogeneous-agent models, and second, the determinants of the cross-country differences in redistribution. Regarding the first contribution, I make each country's tax progressivity the outcome of a political process. In this class of models, a country's progressivity is either the choice of a planner (Conesa and Krueger, 2006; Heathcote et al., 2017) or an input measured from its tax system (Holter et al., 2019; Qiu and Russo, 2026). Their political-economy versions let voters choose fiscal policy, but mainly in the United States (Krusell and Ríos-Rull, 1999; Corbae et al., 2009; Carroll et al., 2021). In the United States, Bachmann and Bai (2013) give wealthier households more weight in how preferences are aggregated, and Chang et al. (2022) let turnout rise with income. Holter et al.

[6] The Varieties of Democracy (V-Dem) index of power distributed by socioeconomic position (Coppedge et al., 2026), averaged over 2012–2021 and signed so that higher values mean more political power for wealth. The data accounts for 45% of the variance of the recovered bias (Section 5.2).

[7] Chang et al. (2022) find the same effect in the United States for a flat tax with a lump-sum transfer.

[8] The comparison is across stationary equilibria; including the transition, the gain in Chile is 4.6%.

(2019) suggest that cross-country differences in progressivity may reflect tastes for redistribution or the political process. My model follows the latter: the political influence of wealth differs across countries, while beliefs, preferences, and technology are the same in every country. As a result, cross-country differences in progressivity become an outcome of the model rather than an input.

Within the quantitative literature, the closest paper is Chang et al. (2018). In 32 OECD countries, they find that a majority would vote for the progressivity that is optimal under equal weights in almost every country, and they ask why countries have not adopted it. They note that the answer may lie in the welfare criterion or in the process that determines policy, which is more complicated than majority rule, and leave both outside the scope of their paper (Chang et al., 2018). Instead, they recover the weights in a utilitarian social welfare function that make each country's current progressivity optimal, and read these weights as a reduced form of each society's preferences for redistribution and its political arrangements. I take up the process that determines policy. In my model, no planner chooses progressivity: a decisive voter does, and her position in the wealth distribution, which can differ from the median, is a reduced form of that process. The object recovered for each country is, in their model, a set of welfare weights and, in mine, the decisive voter's position in the wealth distribution. Within the model, this position reflects politics, and I check it against data on the political influence of wealth. They relate their weights to a democracy index, turnout by income, and attitudes to redistribution (Chang et al., 2018). With the model, I move a country's decisive voter to the median or to the average bias of other countries. I then compute what the country would redistribute and how much each wealth group would gain or lose in consumption-equivalent terms. Moving the decisive voter changes only politics, so within my model the changes in redistribution and welfare are the effect of the political influence of wealth.

Second, I quantify one political account of the cross-country differences in redistribution, the political influence of wealth. The literature on these differences offers several accounts, most of them political, and studies them mainly in regressions or in theoretical models that give qualitative results only. They include political voice (Lindert, 2004; Mahler et al., 2014), electoral institutions (Iversen and Soskice, 2006), left-wing government (Bradley et al., 2003), ethnic divisions and beliefs about the poor (Alesina and Glaeser, 2004), the demand for social insurance (Moene and Wallerstein, 2001), and the capture of democracy by the rich (Acemoglu et al., 2015). Karabarbounis (2011) studies an account close to mine, political influence that rises with income. In a panel of OECD countries, he finds that redistribution is lower when the rich or the middle class earn more relative to the mean and higher when the poor do. His estimates use changes within each country, so they hold constant the persistent differences between countries that my model accounts for with the political influence of wealth. The closest of these models, Bénabou (2000), represents the political influence of wealth as the decisive voter's position in the wealth distribution but holds it common across countries. In his model, countries with the same fundamentals can redistribute a lot or a little, depending on their history. In my model, the political influence of wealth differs across countries. The influence each country requires to match its observed redistribution, given its earnings risk and

government size, correlates with data on the political influence of wealth.[9] Unlike those regressions and qualitative models, my model quantifies how much political influence wealth carries in each country.

The paper proceeds as follows. Section 2 documents the three stylized facts about redistribution across countries. Section 3 presents the model, and Section 4 calibrates it to each country and recovers each country's wealth-bias parameter. Section 5 reports the recovered bias, compares it with data on the political influence of wealth, and quantifies its welfare cost. Finally, Section 6 concludes.

2 Empirical motivation

In this section, I present three stylized facts about taxes and transfers in 37 countries. Together, the facts point to how much political influence wealth carries. Countries with similar Ginis before taxes and transfers have very different Ginis after them, and these differences persist for decades. Redistribution also correlates with data on the political influence of wealth, but the data alone cannot isolate or quantify the effect of that influence. To quantify it, I develop a model, presented in Section 3, in which the political influence of wealth sets who chooses progressivity.

2.1 Data

I define redistribution as the percentage fall in the working-age income Gini from before to after taxes and transfers. Let G_c^m denote the Gini coefficient of market income in country c, income before taxes and transfers, and let G_c^d denote the Gini coefficient of disposable income, income after them. Redistribution is then

$$R_c \;=\; 100 \times \frac{G_c^m - G_c^d}{G_c^m}. \tag{1}$$

Both Ginis come from the OECD Income Distribution Database (OECD, 2026b) and refer to the working-age population, ages 18 to 65.[10] The measure covers the taxes and cash transfers that fall on working-age households, so the pensions of retirees sit outside it. The sample covers 37 countries.[11] Country values are means over 2012–2021.[12]

Data on the political influence of wealth comes from two expert-coded indicators: the power

[9] Groot and van der Linde (2016) also place each country's decisive voter, but in the income distribution of a static economy, and they do not correlate that position with data on the political influence of wealth. Their specification, applied to my data, gives a percentile that varies about a ninth as much across countries as the recovered bias. Appendix D.6 reports this comparison.

[10] The database also reports both Ginis for the entire population. Appendix B.2 discusses the choice and reports the total-population series.

[11] The sample is the organization's 38 members less Colombia, which reports no redistribution data. A few series cover fewer than 37 countries; each enters at the number of countries it covers, which the text and tables state.

[12] The window includes 2020 and 2021, when many governments paid temporary transfers during the COVID-19 pandemic. Redistribution averaged over 2012–2019 correlates at 0.998 across countries with its mean over 2012–2021 (rank correlation 0.997).

indicator and the campaign-finance indicator.[13] The power indicator rates how political power is distributed by wealth and socioeconomic position. It runs from a monopoly of the wealthy on political power to an equal distribution across socioeconomic groups. The campaign-finance indicator rates how electoral competition is financed, from no public funding to public funding of nearly all parties. The two indicators capture different objects: who holds effective power, and whether campaigns run on private money. I use each one on its own, as alternative data on the political influence of wealth.

Earnings and spending data enters the model as calibration inputs. The ratio of the ninth to the first decile of gross earnings (OECD, 2026a) sets the model's earnings dispersion for each country, and public social expenditure (OECD, 2026c) sets the model's government size. Section 4.2 explains how the calibration uses both series. The unemployment rate and GDP growth, from the World Development Indicators (World Bank, 2026), enter Fact 2. Table A1 in Appendix A.1 lists every series and its source.

2.2 Fact 1: the effect of taxes and transfers on income inequality differs widely

The Gini before taxes and transfers is similar across countries, while the Gini after them varies much more. Contrary to the prediction of Meltzer and Richard (1981), redistribution does not rise with the Gini before taxes and transfers.

Taxes and transfers widen the cross-country spread of the Gini. Over 2012–2021, the Gini before taxes and transfers averages 0.42 with a standard deviation of 0.043, a coefficient of variation of 0.10. The Gini after taxes and transfers averages 0.32 with a standard deviation of 0.058, a coefficient of variation of 0.18. The standard deviation is therefore 1.3 times larger after taxes and transfers than before them. Figure 1, in the introduction, shows both Ginis for every country.

Redistribution ranges from 2.4% in Mexico to 38.6% in Ireland. It averages 24.6% across the 37 countries, with a standard deviation of 9.2 percentage points. Denmark and France remove about a third of the Gini before taxes and transfers, the United States about a fifth, and Chile about a twentieth. Table A2 in Appendix A.2 reports redistribution for every country.

Countries with nearly the same Gini before taxes and transfers redistribute very differently. Chile and Ireland have Ginis before taxes and transfers of 0.496 and 0.485. Yet Chile redistributes 5.3% and Ireland 38.6%. Spain and Mexico stand at 0.457 and 0.455. Spain redistributes 26.4% and Mexico 2.4%. Belgium and Latvia both stand at 0.418. Belgium redistributes 37.6% and Latvia 18.9%.[14]

Redistribution does not rise with the Gini before taxes and transfers. Across the 37 countries, the correlation is -0.20 (rank correlation -0.12). Both are smaller in absolute value than the

[13] Both indicators come from the Varieties of Democracy (V-Dem) project, version 16 (Coppedge et al., 2026): "power distributed by socioeconomic position" and "public campaign finance."

[14] Ireland's Gini before taxes and transfers falls from 0.54 in 2012 to 0.44 in 2021. Appendix B.1 describes the data for Chile and Belgium.

five-percent critical value of 0.32.[15] This pattern does not support the political economy tradition. In that tradition, the decisive voter gains more from redistribution when mean income lies further above her own income (Meltzer and Richard, 1981). The tradition therefore predicts that more unequal countries redistribute more.[16]

2.3 Fact 2: redistribution is a persistent country characteristic

Redistribution differs across countries far more than it moves within them. Differences between countries account for 87% of its variance, a country's rank barely moves over two decades, and unemployment and growth account for little of that variance.

Most of the variance of redistribution lies between countries rather than within them. I use an unbalanced panel of 36 countries and 735 country-years, 1975–2025. I split the variance of redistribution into two parts. The first is the variance of country means around the overall mean. The second is the variance of each country's years around its own mean.[17] The first part, the share that country fixed effects account for, is 86.8% of the total. The between-country standard deviation is 8.1 percentage points, against a within-country standard deviation of 3.2. A country's redistribution in a given year is therefore close to its own mean, and often far from the cross-country mean.

A country's rank in redistribution changes little over time. Across countries, the rank correlation of redistribution with itself five years later is 0.88.[18] Between the country means of 1995–2004 and 2012–2021, the rank correlation is 0.71 for the 30 countries observed in both windows (Figure 2). Redistribution thus behaves like a slow-moving country characteristic, not like a policy that resets with each government.

Unemployment and GDP growth account for a small share of the variance of redistribution. Within countries, redistribution correlates at +0.44 with the unemployment rate, as automatic stabilizers would produce.[19] Yet variation with the unemployment rate accounts for only 2.6% of the total variance of redistribution. This share is the square of that correlation, 0.443^2, times the 13.2% of the variance that lies within countries. GDP growth accounts for 0.1%. What differs across countries is the level of redistribution, decade after decade.

[15] The rank correlation is the correlation between the orderings of two variables rather than between their values. Unless stated otherwise, correlations in this section are across the 37 countries, on country means over 2012–2021.

[16] The negative sign rests on five countries. Without Chile, Costa Rica, Mexico, Turkey, and the United States, the correlation is +0.29 (32 countries).

[17] The panel keeps countries with at least eight annual observations, which excludes only Mexico (six observations).

[18] The statistic is the mean, over 17 base years, of the rank correlation between redistribution in the base year and five years later, across the countries observed in both years.

[19] The correlation is between the deviations of redistribution and of the unemployment rate from their country means, pooled across country-years.

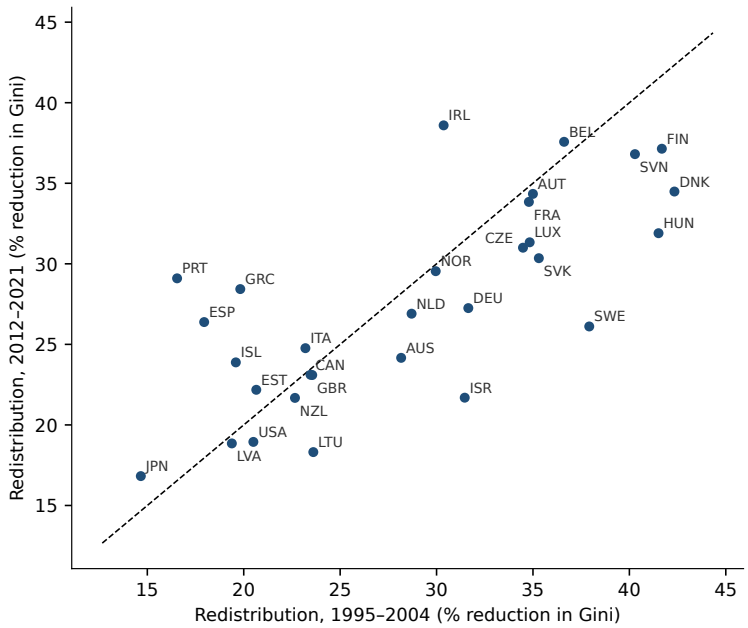


Figure 2: Persistence of redistribution across two decades. Each point is a country: its mean redistribution over 1995–2004 (horizontal axis) and over 2012–2021 (vertical axis), working-age population, for the 30 countries with data in both windows. The dashed line is the 45-degree line; the rank correlation is 0.71. *Source:* OECD Income Distribution Database.

2.4 Fact 3: redistribution correlates with data on the political influence of wealth

Redistribution correlates with the power indicator, which rates how political power is distributed by wealth and socioeconomic position. Higher values of the indicator mean that political power is more equally distributed across socioeconomic groups. The correlation is +0.56 (rank correlation +0.51). Norway and Finland score highest, and both redistribute more than the sample mean of 24.6%. Mexico and Costa Rica score near the bottom and are among the least redistributive countries. Figure 3 plots redistribution against the power indicator and the campaign-finance indicator.

Public campaign finance correlates more weakly with redistribution. The campaign-finance indicator has a correlation of +0.31 with redistribution (rank correlation +0.39). It captures a different object from the power indicator, the role of private money in electoral campaigns. In the model of Campante (2011), campaign contributions move parties' platforms toward the preferences of wealthier citizens, which lowers redistribution.

Accounts based on the demand for redistribution (Meltzer and Richard, 1981; Piketty, 1995; Alesina and Angeletos, 2005) do not carry their predicted sign. Table B1 in Appendix B.4 correlates redistribution with the variable behind each account in the literature and states the sign that account predicts. Redistribution correlates at −0.20 with the Gini before taxes and transfers, at −0.41 with earnings dispersion, and at −0.21 with survey support for redistribution (30 countries).

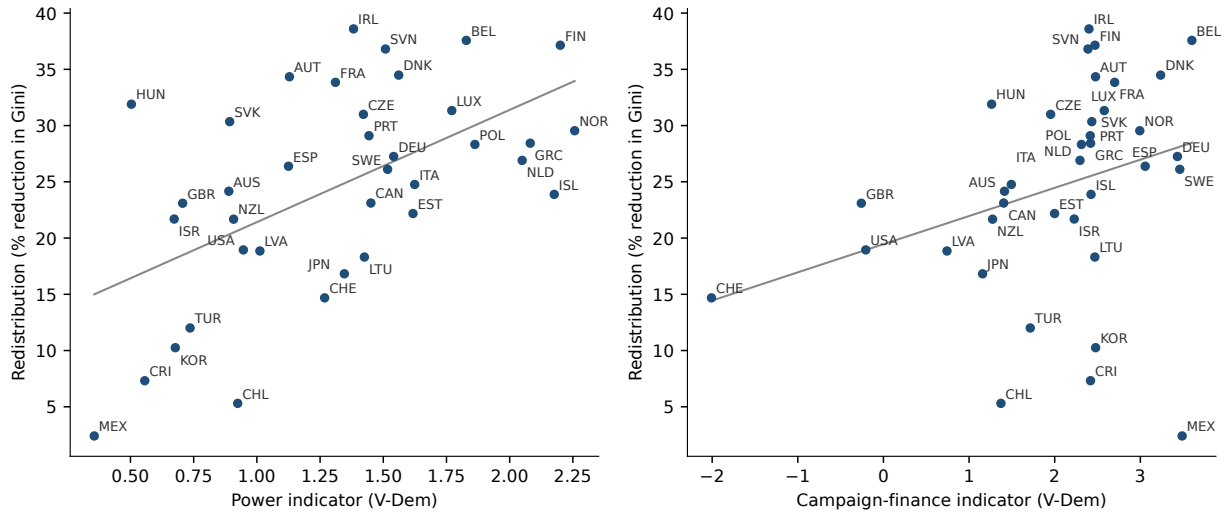


Figure 3: Data on the political influence of wealth and redistribution. Left: the power indicator, which is higher where political power is more equally distributed across socioeconomic groups. Right: the campaign-finance indicator, which is higher where public money plays a larger role in electoral campaigns. Country means over 2012–2021, 37 countries. *Source:* V-Dem v16, "power distributed by socioeconomic position" and "public campaign finance" (Coppedge et al., 2026); OECD Income Distribution Database.

If redistribution followed the demand for it, these correlations would more likely be positive.

Variables that describe labor-market and political institutions, the level of development, or the size of the welfare state carry their predicted sign. Redistribution correlates at +0.41 with bargaining coordination, at +0.34 with union density, and at +0.28 with proportional representation. It correlates at +0.50 with log income per capita and at +0.46 with trade openness. Public social spending correlates most with redistribution, at +0.75, but it partly restates the outcome, because cash transfers are part of social spending. The power indicator itself correlates at +0.45 with log income per capita and at +0.55 with social spending.

Read together, the facts point more to the institutions through which progressivity is chosen than to the demand for redistribution. Slow-moving political institutions would also produce persistent differences in redistribution.[20] The data alone, however, cannot isolate the effect of each variable that correlates with redistribution. In Section 3, I develop a model to quantify how much of the cross-country differences in redistribution the political influence of wealth accounts for. I then check whether the influence each country requires in the model is consistent with data on the political influence of wealth.

[20] In Acemoglu and Robinson (2008), economic institutions that favor the elite persist through a move to democracy, because the elite can offset the loss of formal political power by investing in de facto power, such as lobbying.

3 Model

In this section, I present the model. It is a general-equilibrium Bewley–Huggett–Aiyagari economy with uninsurable earnings risk (Bewley, 1986; Huggett, 1993; Aiyagari, 1994). The government taxes income with a progressive tax function. The model has two key features: (i) a decisive voter chooses progressivity and takes into account how it moves the wage and the interest rate, and (ii) the wealth-bias parameter sets her position in the wealth distribution. I first describe households, firms, and the government, then the political choice of progressivity, and finally the equilibrium.

3.1 Households

The economy has a unit continuum of infinitely lived households that are identical ex ante. Each household faces idiosyncratic, persistent, and uninsurable risk to its labor productivity. It saves in one risk-free asset, subject to a liquidity constraint that limits how much it can borrow. Ex post, households therefore differ in labor productivity and in wealth. Time is discrete, there is no aggregate risk, and I study stationary equilibria.

A household chooses consumption c_t, hours n_t, and next-period assets a_{t+1} to maximize expected lifetime utility

$$\mathbb{E}_0 \sum_{t=0}^{\infty} \beta^t \left[u(c_t) - v(n_t) \right], \tag{2}$$

where $\beta \in (0,1)$ is the discount factor. The utility of consumption u is strictly increasing, strictly concave, and twice differentiable. The disutility of hours v is strictly increasing, strictly convex, and twice differentiable. Section 4.1 sets the functional forms of both.

Labor productivity follows $\log z' = \rho_z \log z + \varepsilon'$, where ε' is a mean-zero i.i.d. innovation, and productivity is normalized so that $\mathbb{E}[z] = 1$. I write $\Pi(z' \mid z)$ for its transition and σ_z for the stationary standard deviation of $\log z$. Gross income is $y_t = w z_t n_t + r a_t$, labor earnings plus capital income. The budget constraint and the liquidity constraint are

$$c_t + a_{t+1} \;=\; \big(1 - T(y_t)\big)\, y_t + a_t, \qquad a_{t+1} \geq \underline{a}, \tag{3}$$

where $T(y)$ denotes taxes paid as a share of income y, given by the tax function of Section 3.3, and $\underline{a} \leq 0$ is the borrowing limit.

The household's problem has a recursive form. With a denoting current assets and a' next-period assets, the value of a household in state (a, z) is

$$V_\tau(a,z) \;=\; \max_{c,\,n,\,a'} \left\{ u(c) - v(n) + \beta \sum_{z'} \Pi(z' \mid z)\, V_\tau(a', z') \right\} \tag{4}$$

subject to the budget and liquidity constraints (3). The subscript τ indexes the value function for a given progressivity of the tax function, which the household takes as given. The solution gives

the policies $c(a,z)$, $n(a,z)$, and $a'(a,z)$.

3.2 Firms

A representative firm produces output from capital and effective labor with constant returns to scale. Output is $Y = F(K,L)$, where F is strictly increasing with diminishing marginal products, and capital depreciates at rate δ. Taking prices as given, the firm chooses K and L to maximize $F(K,L) - (r+\delta)K - wL$. The interest rate and the wage therefore satisfy

$$r = F_K(K,L) - \delta, \tag{5}$$

$$w = F_L(K,L). \tag{6}$$

Aggregate effective labor is $L = \int z\, n(a,z)\, d\Gamma$, where Γ is the distribution of households over assets and productivity.

3.3 Government

The government taxes gross income with the tax function of Bénabou (2002) and Heathcote et al. (2017), in which one parameter sets progressivity. Taxes paid as a share of income y are

$$T(y) \;=\; 1 - \lambda\, y^{-\tau}, \qquad \big(1 - T(y)\big)\, y \;=\; \lambda\, y^{1-\tau}. \tag{7}$$

The parameter τ sets progressivity, and the parameter λ sets the level. For $0 < \tau < 1$ marginal tax rates rise with income; $\tau = 0$ is a flat tax at rate $1 - \lambda$, and $\tau < 0$ makes the tax regressive. When the tax is progressive, the function delivers transfers as well as taxes. Below income $\lambda^{1/\tau}$ the average tax rate is negative, so low-income households receive a net transfer.

Net revenue, collected on the stationary distribution Γ, finances unproductive spending fixed as a share $g \equiv G/Y$ of output:

$$\mathcal{T}(\tau,\lambda) \;\equiv\; \int T(y)\, y\, d\Gamma \;=\; gY. \tag{8}$$

For any progressivity τ, the level $\lambda(\tau)$ is determined in equilibrium, jointly with the interest rate, so that the budget balances. Progressivity is therefore the only object of choice.

3.4 The political choice and the wealth-bias parameter

The model separates the political stage, which sets progressivity, from the decisions that households and firms make within each period. At the political stage, each candidate progressivity τ induces its own stationary competitive equilibrium, defined in Section 3.5. A household in state (a,z) ranks candidates by the value $V_\tau(a,z)$ it attains under each, so the vote compares stationary equilibria.[21]

[21] Appendix C.5 compares voting over stationary equilibria with the sequential votes of Krusell and Ríos-Rull (1999) and Corbae et al. (2009).

Within each period, households choose consumption, hours, and saving, taking prices and the tax function as given. Firms choose capital and labor, taking prices as given.

A decisive voter chooses progressivity: the household at percentile p of the wealth distribution chooses the progressivity that maximizes her own lifetime utility. The wealth-bias parameter p is her percentile. She holds the wealth of that percentile under the progressivity in place, so the chosen progressivity and her wealth are determined together, and Definition 2 states her choice formally. The parameter is a reduced-form pivot: it places the decisive voter in the wealth distribution without modeling the institutions that put her there. At $p = 0.5$ the decisive voter is the household at the median of the wealth distribution. I call this case one person one vote, because her choice is close to the progressivity that wins a majority vote among all households, as Appendix C.4 shows. Values of p above or below the median describe institutions that give more weight to wealthier or poorer citizens. The wealth-bias parameter is the one country-specific political parameter, while earnings dispersion and government size come from each country's data, as Section 4 describes.

Households take prices as given when making market decisions, but the decisive voter takes into account how progressivity moves them. At the political stage, the decisive voter compares candidates through the full stationary equilibria they induce. She therefore accounts for how progressivity changes hours, saving, the wage, and the interest rate. Krusell and Ríos-Rull (1999) and Corbae et al. (2009) make the same assumption: voters are atomistic but evaluate the equilibrium effects of the policy they vote on.

3.5 Equilibrium

The equilibrium is defined in two steps: first the stationary competitive equilibrium for a given tax progressivity, and then the politico-economic equilibrium, which determines tax progressivity.

Definition 1 (Stationary competitive equilibrium given tax progressivity)**.** Given tax progressivity τ, a stationary competitive equilibrium is a value function V_τ, policies $c(a, z)$, $n(a, z)$, and $a'(a, z)$, prices (r, w), a level λ of the tax function, and a distribution Γ_τ such that:

1. V_τ and the policies solve the household problem (4);
2. prices satisfy the firm's optimality conditions (5)–(6);
3. markets clear: $K = \int a \, d\Gamma_\tau$ and $L = \int z \, n(a, z) \, d\Gamma_\tau$;
4. the government budget (8) balances;
5. Γ_τ is the stationary distribution of households over assets and productivity that the saving policy $a'(a, z)$ and the productivity process induce.

In a politico-economic equilibrium, the decisive voter, placed in the wealth distribution that the equilibrium induces, prefers the equilibrium progressivity to every alternative.

Definition 2 (Politico-economic equilibrium)**.** Given the wealth-bias parameter p, a politico-economic equilibrium is a progressivity τ^*, together with the stationary competitive equilibrium it induces (Definition 1), such that

$$\tau^* \;=\; \arg\max_{\tau\in[\underline{\tau},\,\bar{\tau}]} \sum_{z} \Gamma_{\tau^*}(z \mid a_p)\, V_\tau(a_p, z), \tag{9}$$

where a_p is the asset level at percentile p of the marginal wealth distribution of Γ_{τ^*}, and the interval $[\underline{\tau}, \bar{\tau}]$ of candidate progressivities includes regressive tax functions, $\underline{\tau} < 0$. The decisive voter is identified by wealth alone, and her value averages over productivity with the conditional distribution $\Gamma_{\tau^*}(z \mid a_p)$.

Equation (9) makes the equilibrium a fixed point of the decisive voter's best response, the progressivity she prefers given the progressivity in place. The progressivity in place matters to her because it sets the wealth distribution, and with it her wealth. An equilibrium is stable when the best response crosses the 45-degree line from above, so a small departure from it is voted back toward it. Two stable equilibria can arise when the decisive voter sits near the top of the wealth distribution. Under low progressivity, her wealth is far above the mean, so she prefers little progressivity, which keeps wealth dispersed. Under high progressivity, wealth is compressed and her wealth is closer to the mean, so she prefers more progressivity. Appendix C.3 defines the best response formally.

As a benchmark, I define the equal-weights choice, the progressivity τ^u that solves

$$\tau^u \;=\; \arg\max_{\tau\in[\underline{\tau},\,\bar{\tau}]} \int V_\tau(a, z)\, d\Gamma_{\tau^u}(a, z). \tag{10}$$

Every household evaluates each candidate from where it sits in the equilibrium distribution, and every household's lifetime utility counts equally, so τ^u is the utilitarian choice within the family of tax functions (7). Section 5.3 reports how close the median voter's choice comes to the equal-weights choice in the calibrated economies.

4 Calibration

In this section, I explain how I choose the value of each parameter of the model. I describe the parameters common to all countries, the data that set each country's earnings dispersion and government size, and how I recover each country's wealth-bias parameter from its observed redistribution.

I calibrate the model for each of the 37 countries. All countries share the same preferences, technology, and persistence of earnings, and they differ in earnings dispersion, government size, and the wealth-bias parameter. To show what the common parameters imply, I use a benchmark economy with the mean earnings dispersion and government size across the 37 countries, 0.46 and 0.21, respectively. The capital-output ratio and aggregate hours depend on progressivity, which the model determines in equilibrium, so I report them in this economy at a fixed progressivity of 0.20,

close to the 0.181 that Heathcote et al. (2017) estimate for the United States. Table 1 lists the parameters common to all countries and those taken from each country's data, with their values and sources.

4.1 Preferences, technology, and common parameters

Preferences are logarithmic in consumption with an isoelastic disutility of hours:

$$u(c) - v(n) \;=\; \log c \;-\; \psi \,\frac{n^{\,1+1/\varphi}}{1+1/\varphi}, \tag{11}$$

where φ is the Frisch elasticity of hours and ψ scales the disutility of work. With logarithmic consumption, the income and substitution effects of a change in the wage offset, so hours do not drift with the level of wages. These preferences are standard in quantitative studies of tax progressivity (Heathcote et al., 2017; Holter et al., 2019; Chakraborty et al., 2015).

A model period is one year. Technology is Cobb–Douglas, $F(K, L) = K^{\alpha}L^{1-\alpha}$, with the standard values of 0.36 for the capital share α and 0.05 for the depreciation rate δ.

The discount factor is $\beta = 0.9638$, which gives a capital-output ratio of 3.35 in the benchmark economy. The scale of the disutility of hours is a normalization. I set $\psi = 0.61$, so that aggregate hours equal one in the benchmark economy.

The Frisch elasticity is 0.3. In the model, households choose how many hours to work but not whether to work. Labor supply therefore responds only at this hours margin, and the elasticity that matters is the response of hours among those who work. I take the value that Chakraborty et al. (2015) set for the hours of men, slightly below the selection-corrected estimate of 0.39 that they cite.[22]

The persistence of log productivity is 0.975 in every country, so countries differ in earnings risk only through earnings dispersion. Harmonized estimates of the persistence of wages or earnings are not available for the 37 countries. Where estimates exist, they are close to this value: 0.973 for the wages of men in the United States (Heathcote et al., 2010) and 0.956 to 0.965 for earnings in Sweden (Domeij and Flodén, 2010).

I set the borrowing limit $\underline{a}$ to zero, so households cannot borrow. The baseline model satisfies four conditions: logarithmic consumption with this disutility of hours under constant returns to scale, the tax function (7) with its level solved in equilibrium, a borrowing limit of exactly zero, and spending fixed as a share of output. Under these conditions, the level of productivity does not affect the political equilibrium, and ψ only sets the scale of hours and of the economy, so it has no effect on redistribution, the recovered bias, or welfare in consumption-equivalent terms. Appendix C.6 shows why.

[22] Other quantitative studies of progressivity use 0.4 or 0.5 (Heathcote et al., 2017; Chang et al., 2018; Ferriere et al., 2023).

Table 1: Parameters of the model.

Parameter	Description	Value	Source or note
Common to all countries			
β	Discount factor	0.9638	gives a capital-output ratio of 3.35
ψ	Disutility scale	0.61	normalization: aggregate hours of one
φ	Frisch elasticity	0.3	Chakraborty et al. (2015)
α	Capital share	0.36	standard
δ	Depreciation rate	0.05	standard
ρ_z	Persistence of log productivity	0.975	close to Heathcote et al. (2010) and Domeij and Flodén (2010)
Country-specific, from data			
$\sigma_{z,c}$	Earnings dispersion	0.29–0.63	ratio of the ninth to the first decile of gross earnings, equation (12)
g_c	Government size	0.08–0.32	public social expenditure as a share of GDP

Notes: Country-specific rows give the range across the 37 countries. Inputs are means over 2012–2021 (earnings through 2023 for Iceland and Turkey); Table A2 in Appendix A.2 lists every country. The capital-output ratio and aggregate hours refer to the benchmark economy, with earnings dispersion 0.46 and government size 0.21, at a progressivity of 0.20. *Source:* OECD; model computations.

4.2 Earnings dispersion and government size

Earnings dispersion comes from the ratio of the ninth to the first decile of gross earnings. I use this ratio for full-time employees (OECD, 2026a), as a mean over 2012–2021 (through 2023 for Iceland and Turkey). Under lognormality, the log of the ratio equals $2\,\Phi^{-1}(0.9) = 2.5631$ times the standard deviation of log earnings, so

$$\sigma_{z,c} \;=\; \frac{\ln\left(\mathrm{D9}/\mathrm{D1}_c\right)}{2.5631}, \tag{12}$$

where $\sigma_{z,c}$ is the stationary standard deviation of log productivity in country c. The mapping treats the dispersion of earnings as the dispersion of productivity, which leaves out the response of hours. Earnings dispersion ranges from 0.29 in Sweden to 0.63 in the United States.[23]

The model's government size is set from public social expenditure as a share of GDP (OECD, 2026c). I use means over 2012–2021, which range from 0.08 in Mexico to 0.32 in France. In the model, this is spending that the income tax finances in addition to the cash transfers that the tax function itself delivers. Most social expenditure, such as pensions, health care, and services in kind, does not enter the working-age Gini after taxes and transfers.[24]

[23] The series covers full-time employees, so it understates dispersion where informality is large, as in Mexico and Turkey.

[24] The branches aimed at working-age households (unemployment, family, incapacity, housing, and other social programs) average 28% of public social expenditure across the 37 countries.

4.3 Recovering the wealth-bias parameter

For each country, the recovered bias, p_c^*, is the value of the wealth-bias parameter at which the model, with the country's own earnings dispersion and government size, matches its observed redistribution. Model redistribution follows the same accounting as the data's: it is the percentage fall from the Gini of gross income to the Gini of after-tax income, both from the stationary distribution of the equilibrium with the tax function in place. Gross income therefore already reflects the hours, saving, and price responses to progressivity. The model's Gini of gross income is 0.25 on average at the recovered equilibria, against 0.42 in the data, so the recovery matches the relative fall in the Gini, not its level. The model's Gini is lower because the earnings data covers only full-time employees, the model leaves out the extreme tails of earnings, and capital income is less concentrated in the model than in the data. Equilibrium redistribution falls as the decisive voter becomes wealthier (Figure 4), so a country that redistributes less requires a wealthier decisive voter. At the recovered values, two stable equilibria arise only where political influence is concentrated at the top of the wealth distribution. This happens in Chile, Costa Rica, and Mexico. Where there are two, I select the one most consistent with observed redistribution, the one with less progressivity. In the high-progressivity equilibrium these three countries would redistribute 47 to 56%, and no percentile of the decisive voter brings that equilibrium within 40 percentage points of their observed redistribution. Figure 6 in Section 5.1 shows the recovered bias by country.

The model matches observed redistribution within 0.7 percentage points in every country. The median absolute error is 0.19 percentage points, and the largest is 0.66, in Slovenia.[25] These errors are small against the spread of observed redistribution across countries, whose standard deviation is 9.2 percentage points. Table A2 in Appendix A.2 reports observed redistribution, the absolute error of the model, and the recovered bias for every country. Section 5.2 shows that the recovered bias is consistent with data on the political influence of wealth.

The recovered bias is a position in the model's wealth distribution, which is more compressed than wealth in the data. In the benchmark economy at one person one vote, the wealth Gini is 0.34 and the top 1% holds 3% of wealth. These values are close to the 0.38 and 3% that Castañeda et al. (2003) report for the economy of Aiyagari (1994), and far below the 0.83 and 35% of the 2022 Survey of Consumer Finances for the United States (Board of Governors of the Federal Reserve System, 2023; Kuhn and Ríos-Rull, 2025). Section 5.1 translates the recovered bias into wealth levels.

5 Quantitative results

In this section, I present the quantitative results of the calibrated model. I first show how equilibrium redistribution changes with the wealth percentile of the decisive voter, and I explain how her wealth shapes her demand for progressivity. I then report the recovered bias of each country and compare

[25] A one-point error in observed redistribution moves the recovered bias by about 0.024 for the median country.

it with data on the political influence of wealth. Finally, I quantify the welfare cost of the wealth bias.

5.1 The recovered bias

The decisive voter's wealth percentile moves redistribution across nearly the whole observed range, while one person one vote delivers little of the variation across countries. Matching each country places the decisive voter below the median in the Nordic countries and most of western Europe and above it in the Americas.

In the benchmark economy, redistribution falls from 39.3% to 7.3% as the decisive voter moves from the 5th to the 95th wealth percentile (Figure 4).[26] This range contains the observed redistribution of nearly every country. Chile and Mexico lie below its lower end, and Costa Rica lies close to it. Above the 95th percentile, redistribution falls further, to 0.5% with the decisive voter at the 99.5th percentile, so the tax is essentially flat. With each country's own earnings dispersion and government size, the model matches every observed value, from 2% to 39%, as Section 4.3 reports.

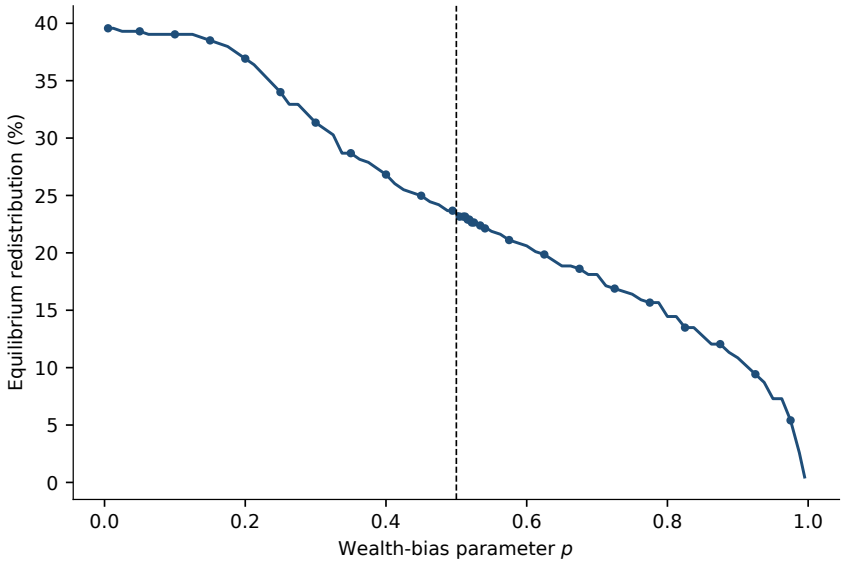


Figure 4: Equilibrium redistribution and the wealth-bias parameter. Each point is the redistribution of the benchmark economy, with earnings dispersion 0.46, government size 0.21, and the decisive voter at wealth percentile p. Where political influence is concentrated at the top of the wealth distribution and two stable equilibria exist, the figure shows the one with less progressivity. The dashed vertical line marks one person one vote. *Source:* model computations.

Redistribution falls as the decisive voter becomes wealthier mainly because wealthier households pay more of the cost of progressivity. This is consistent with Bénabou (2000, Proposition 7), in which progressivity decreases with the political influence of wealth. At unchanged prices, a rise in

[26] In the benchmark economy, two stable equilibria arise only when political influence is concentrated at the top of the wealth distribution, from the 95th percentile on. This paragraph uses the one with less progressivity.

progressivity that adds about one point to redistribution is worth 0.30% of consumption to a voter at the 10th wealth percentile and costs 0.31% to a voter at the 90th. Most of this difference of 0.61 points runs through labor income, because wealth and productivity are correlated. The insurance that progressivity provides accounts for only 0.03 of it.

General equilibrium offsets part of this difference. Progressivity lowers precautionary saving, which raises the interest rate and lowers the wage, and wealthier voters gain more from the higher interest rate. Chang et al. (2022) find the same effect in the United States for a flat tax with a lump-sum transfer. From the 10th to the 90th percentile, the price responses offset about half of it, 0.29 of the 0.61 points. In the benchmark economy, a decisive voter who took prices as given would choose a regressive tax above about the 81st percentile, so general equilibrium keeps even a wealthy decisive voter progressive. General equilibrium raises the recovered bias of the least redistributive countries, as Appendix F.9 reports.

At the other end, a wealth-poor decisive voter faces a trade-off between progressivity and prices. More progressivity raises her after-tax income, but it lowers saving and therefore the wage, and most of her income is labor income. The lower wage restrains how much progressivity she chooses.

At one person one vote, the benchmark economy redistributes close to the sample mean. Its decisive voter chooses a progressivity that delivers redistribution of 23.4%, against an observed mean of 24.6%. The hours margin disciplines this choice. Progressivity lowers the after-tax return to work, hours fall, and the decisive voter takes the lost output into account. Without the hours margin, the same economy redistributes 41%, more than any country in the sample.

At one person one vote, the model delivers little of the variation of redistribution across countries (Figure 5).[27] With each country's earnings dispersion and government size, redistribution at one person one vote has a standard deviation of 3.1 percentage points, against 9.2 in the data.[28] It correlates at -0.21 with observed redistribution. Most of the model's variation comes from earnings dispersion: countries with more dispersed earnings redistribute more at one person one vote.[29] Government size moves the choice little. With the benchmark earnings dispersion, redistribution at one person one vote ranges from 21% at Mexico's spending share to 25% at France's.

Denmark and Chile illustrate the recovery of the wealth-bias parameter (Table 2). At one person one vote, the model gives Chile 28.2% and Denmark 21.1%, while the data shows 5.3% and 34.5%. The model redistributes more in Chile because Chile's earnings dispersion is 0.60, against 0.37 in Denmark. Matching the data places Denmark's decisive voter at the 15th wealth percentile and Chile's at the 98th. At those percentiles the model redistributes 34.4% in Denmark and 5.0% in Chile.

[27] Chang et al. (2018, Table C.2) find a similar result under majority voting: Chile would redistribute 29.3% and Denmark 18.3%.

[28] Both are sample standard deviations across the 37 countries.

[29] Across countries, redistribution at one person one vote correlates at $+0.96$ with the ratio of the ninth to the first decile of gross earnings.

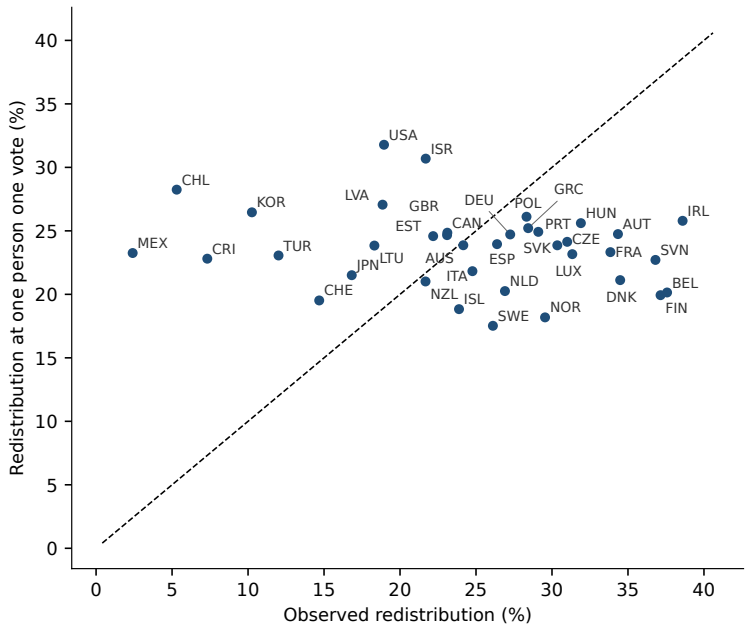


Figure 5: Redistribution at one person one vote against observed redistribution. Each point is a country's calibrated economy, with its own earnings dispersion and government size and the decisive voter at the median of the wealth distribution. The dashed line is the 45-degree line. *Source:* model computations; OECD Income Distribution Database.

The recovered bias spans nearly the whole wealth distribution, from the 4th to the 99th percentile (Figure 6). I report it as a share of the wealth distribution, so 0.04 is the 4th percentile. Its mean across countries is 0.47, close to the median voter. Appendix A.2 lists every country's value.

Twenty-three countries sit below the median. The lowest sit in the bottom sixth of the wealth distribution: Belgium and Finland at 0.04, Norway at 0.14, Denmark at 0.15, and Sweden at 0.16. In Belgium's economy the model's wealth distribution is nearly equal, with a wealth Gini of 0.06, so its decisive voter still holds 0.86 of mean wealth. Australia and New Zealand sit only marginally below the median, at 0.49 and 0.48.

Fourteen countries sit above the median. The five highest are Mexico at 0.99, Chile at 0.98, Costa Rica at 0.95, Korea at 0.91, and Turkey at 0.85. The United States follows at 0.79.[30]

Under the average wealth bias of the four largest Nordic countries, Mexico would redistribute 39% instead of 2%. In this exercise the wealth-bias parameter is set to the average recovered bias of Denmark, Finland, Norway, and Sweden, 0.12, and Mexico's earnings dispersion and government size stay unchanged. Mexico would then redistribute more than any of these four countries, whose observed redistribution runs from 26% to 37%. The reason is that Mexico's earnings dispersion is 0.50, against 0.29 to 0.37 in these countries. Section 5.3 quantifies the welfare effects of this change.

[30]The decisive voter of the United States holds 1.6 times mean wealth, which the 2022 Survey of Consumer Finances places near its 88th percentile.

Table 2: The recovered bias in two countries: Denmark, the benchmark economy, and Chile.

	Denmark	Benchmark economy	Chile
Data			
Redistribution (%)	34.5	—	5.3
Earnings dispersion, $\sigma_{z,c}$	0.37	0.46	0.60
Government size (share of output)	0.29	0.21	0.12
Model at one person one vote			
Redistribution (%)	21.1	23.4	28.2
Model at the recovered bias			
Wealth percentile of the decisive voter, p^*	0.15	—	0.98
Redistribution (%)	34.4	—	5.0

Notes: The benchmark economy has the mean earnings dispersion and government size across the 37 countries, 0.46 and 0.21, respectively. It is not a country, so it has no observed redistribution. Earnings dispersion is the standard deviation of log productivity implied by the ratio of the ninth to the first earnings decile (equation (12)). *Source:* OECD; model computations.

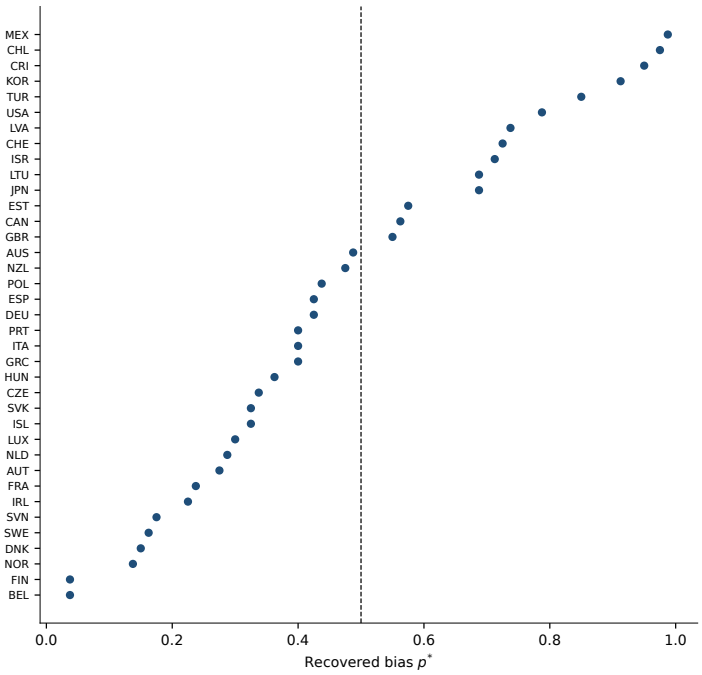


Figure 6: The recovered bias by country. For each country, p^* is the decisive voter's wealth percentile at which the model matches observed redistribution, given the country's earnings dispersion and government size. The dashed line marks one person one vote. *Source:* model computations; OECD.

5.2 The recovered bias and data on the political influence of wealth

The decisive voter sits higher in the wealth distribution where the power indicator says wealth carries more political power. The recovery uses each country's observed redistribution, earnings dispersion, and government size. The power indicator rates how political power is distributed by wealth and socioeconomic position. In Fact 3, higher values meant a more equal distribution. In this section, I reverse its sign, so higher values mean more political power for wealth. The recovered bias correlates with it at +0.67, with a 95-percent interval of 0.44 to 0.82 and a rank correlation of +0.64 (Figure 7). The campaign-finance indicator, which describes how electoral competition is financed and whose sign I also reverse, correlates with the recovered bias at +0.41.[31] The power indicator alone accounts for 45% of the variance of the recovered bias.

The power indicator and the campaign-finance indicator are two of eighteen indicators that I examine. The seven that describe political power and campaign money in practice, or the strength of organized labor, all carry the expected sign, and four of them clear the five-percent critical value. The two that describe who votes, and the nine laws on money in politics, carry the wrong sign or correlate weakly. Appendix D.2 reports all eighteen.

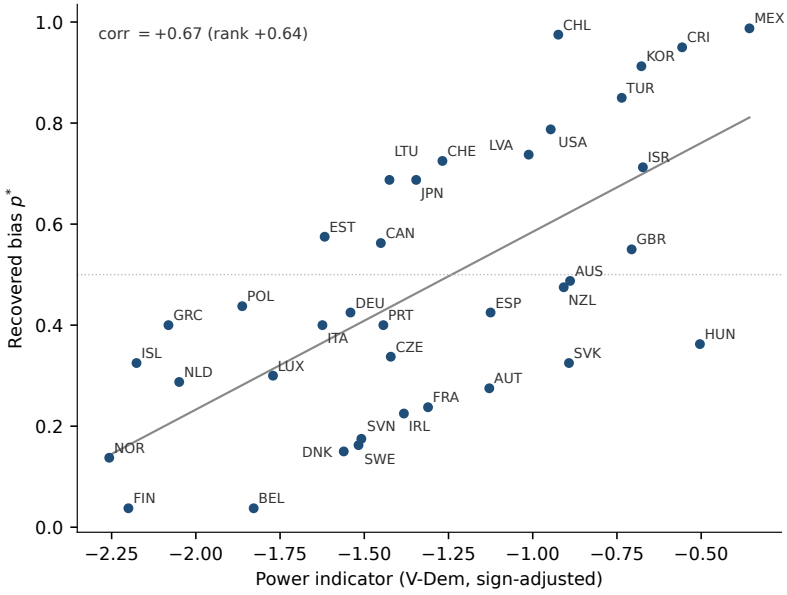


Figure 7: The recovered bias and the power indicator. The power indicator is signed so that higher values mean more political power for wealth, the reverse of Figure 3. The dotted line marks one person one vote. *Source:* model computations; V-Dem v16.

Countries that redistribute the same can have different recovered biases. The model places the decisive voter higher where the economy would redistribute more under one person one vote, mainly where earnings are more dispersed. Israel and New Zealand both redistribute 21.7%, but

[31] With 37 countries, the five-percent two-sided critical value for a correlation is about 0.32. Appendix D.3 reports the inference.

earnings are more dispersed in Israel, and its recovered bias is 0.71 against 0.48. The power indicator also rates political power in Israel as more tilted toward wealth. Among countries with the same observed redistribution, the recovered bias correlates with the power indicator at +0.52.[32]

No single control or group of countries accounts for the correlation of +0.67 between the recovered bias and the power indicator. Controlling for income per capita, electoral democracy, government size, or earnings dispersion one at a time leaves it between +0.47 and +0.61. The four controls together lower it to +0.33, with an interval that includes zero. Dropping the five Nordic countries, the Americas, or the Anglosphere leaves it between +0.58 and +0.69. Without Chile, Costa Rica, and Mexico, where political influence is concentrated at the top of the wealth distribution and two stable equilibria arise, it is +0.59.

The correlation also holds under other values of the common parameters, such as the Frisch elasticity and risk aversion, and under other assumptions, such as a looser borrowing limit or a decisive voter who takes prices as given. Across these checks, it stays between +0.58 and +0.68. Under political weights that rise with wealth rank, or with consumption as in Chang et al. (2018), it is +0.60 and +0.65, and +0.31 and +0.40 among countries with the same observed redistribution. In each check, the model still matches most countries.

Chang et al. (2018) also uncover country-specific weights: the Pareto weights that make each country's current progressivity optimal. Their weights can reflect tastes for redistribution, the political process, or both, so what drives their differences across countries remains open. Because my model holds tastes common across countries, within the model the recovered bias differs across countries only through the political influence of wealth, and its correlation with the power indicator is evidence about that influence.

5.3 The welfare cost of the wealth bias

My approach holds preferences and technology common across countries and makes progressivity the outcome of a political process. Because the wealth-bias parameter is not a preference, removing it changes who decides, not what households want, so the change in welfare measures what the political influence of wealth costs. Because preferences are common to all countries, this cost can also be compared across countries.

Across stationary equilibria, restoring one person one vote raises welfare averaged over all households in 34 of the 37 countries, by up to 3.1% in consumption-equivalent terms. The cost arises because the decisive voter weighs only her own benefit and cost of progressivity, and it grows with the size of the bias.

For each country I compare two stationary equilibria of its calibrated economy. The first is at its recovered bias p_c^*, which matches its observed redistribution, and the second is at the median

[32] This is the partial correlation, controlling for observed redistribution. Its 95-percent interval runs from 0.23 to 0.72.

voter. I express the welfare change as a consumption equivalent,

$$CE_c \;=\; \exp\Big((1-\beta)\,\mathbb{E}_{\Gamma_{p_c^*}}\big[V_{c,0.5} - V_{c,p_c^*}\big]\Big) - 1, \tag{13}$$

where $V_{c,p}$ is the value function of a household in country c when the decisive voter sits at wealth percentile p, and $\Gamma_{p_c^*}$ is the distribution of households over assets and productivity in the equilibrium at the recovered bias. CE_c is the percentage by which every household's consumption would have to rise in every period, in the equilibrium at the recovered bias, to give the average lifetime utility of one person one vote. It is exact under log utility with separable hours. I evaluate it for all households and for each wealth quintile. Each household is valued at its state in the equilibrium at the recovered bias, as in the vote.

In the 34 countries that gain, the gains run from 0.01% of consumption in Australia to 3.1% in Chile. The median across all 37 countries is 0.28%. Table 3 reports the four largest gains on each side of the median, and Appendix E.1 reports every country. The United Kingdom, Canada, and Estonia lose less than 0.01%. Their decisive voters sit just above the median, at 0.55, 0.56, and 0.58.

The gains barely change under political weights that rise with wealth rank or with consumption. Removing the bias then means giving every household the same weight. Chile gains 3.1 to 3.2%, and the median country 0.28 to 0.29%.

Including the transition to the new equilibrium raises the gain where the reform raises progressivity, from 3.1 to 4.6% in Chile. It lowers the gain where the reform lowers progressivity, from 1.6 to 1.3% in Belgium and from 1.0 to 0.6% in Ireland. The comparison across stationary equilibria is therefore a lower bound in the first case and an upper bound in the second.

In every calibrated economy, the equal-weights choice, which weighs every household equally, is slightly less progressive than the median voter's choice. In the benchmark economy, it redistributes 22.1%, against 23.4%.[33] Chang et al. (2018) find that the progressivity chosen by majority voting is very close to the one that is optimal under equal weights in most countries. The equal-weights choice balances the average household's value of progressivity against its average cost. When the decisive voter is wealthy, the government does not provide the insurance and redistribution that the average household would vote for. In Chile, restoring one person one vote raises redistribution from 5.0% to 28.2%, and hours fall by about 8%, yet average welfare rises by 3.1% of consumption. When the decisive voter is poor, she chooses progressivity that the average household would vote against. In Belgium, the reform lowers redistribution from 37.5% to 20.1% and raises average welfare by 1.6%. In the United Kingdom, Canada, and Estonia, the decisive voter's choice is already close to the equal-weights choice, so moving to the median voter overshoots it.

[33] In the benchmark economy, a planner who evaluates each stationary equilibrium under its own wealth distribution, rather than at households' current wealth, chooses less progressivity than the median voter, because it gives a less progressive equilibrium credit for its larger capital stock.

Table 3: Restoring one person one vote: consumption-equivalent welfare changes.

	Redistribution (%)		Consumption equivalent (%)			
Country	at p^*	at $p = 0.5$	All	Incl. transition	Bottom quintile	Top quintile
Decisive voter above the median ($p^* > 0.5$)						
Chile	5.0	28.2	+3.1	+4.6	+11.3	−2.0
Mexico	2.3	23.3	+2.0	+3.2	+8.0	−1.0
Korea	10.2	26.5	+1.4	+2.3	+5.9	−1.9
Costa Rica	7.3	22.8	+1.1	+1.9	+4.7	−1.2
Decisive voter below the median ($p^* < 0.5$)						
Finland	37.5	19.9	+1.6	+1.4	−0.7	+4.8
Belgium	37.5	20.1	+1.6	+1.3	−0.9	+4.9
Slovenia	36.2	22.7	+1.0	+0.8	−1.5	+4.1
Ireland	38.7	25.8	+1.0	+0.6	−1.4	+4.6

Notes: Consumption equivalents from equation (13), moving each country from its recovered bias to one person one vote. The table shows the four largest average gains on each side of the median. For Chile, Costa Rica, and Mexico, where influence concentrated at the top of the wealth distribution yields two stable equilibria, I select the low-progressivity one, the one most consistent with observed redistribution. The transition column adds the path to the new equilibrium. *Source:* model computations.

The source of the gain differs on the two sides of the median. Following Flodén (2001) and Dyrda and Pedroni (2023), I split each gain into a level, an insurance, and a redistribution component. The level component compares aggregate consumption and hours, and the redistribution component compares the dispersion of certainty equivalents across households. The insurance component compares each household's certainty-equivalent consumption and hours with their expected values. Chile's gain combines insurance worth 2.7% of consumption and redistribution worth 2.5%, net of a level loss of 2.1%, in which lower average consumption outweighs the extra leisure. Belgium's gain is a level gain of 2.6%, net of insurance and redistribution losses of about 0.5% each. The other countries in Table 3 show Chile's signs above the median and Belgium's below it.

The welfare loss grows with the size of the bias in either direction. Across countries, the gain correlates at +0.85 with the distance of the recovered bias from the median, $|p_c^* - 0.5|$. In the benchmark economy it rises to 1.5% with the decisive voter at the 0.5th wealth percentile and to 2.3% at the 99.5th.

The gains and losses fall on opposite ends of the wealth distribution. In every country, the gain changes monotonically from the bottom to the top wealth quintile. In the 14 countries whose decisive voter sits above the median, the bottom quintile gains up to 11.3% of consumption (Chile) and the top quintile loses up to 2.7% (United States). In the 23 countries whose decisive voter sits below it, the top quintile gains up to 4.9% (Belgium) and the bottom quintile loses up to 1.5% (Slovenia). All quintile gains are computed on the model's wealth distribution, which is more compressed than wealth in the data.

Giving Mexico the average recovered bias of the four largest Nordic countries, 0.12, helps its

poorest households more than one person one vote does, but raises average welfare less. Its bottom quintile would gain 10.4% of consumption, against 8.0% under one person one vote, and its top quintile would lose 5.0%, against 1.0%. Its average gain would be 0.37%, against 2.0%.

6 Conclusion

This paper argues that cross-country differences in redistribution reflect how much political influence wealth carries. To explain these differences, I develop a heterogeneous-agent general-equilibrium model in which a decisive voter chooses tax progressivity. A parameter, the wealth bias of political influence, sets her position in the wealth distribution. The main result is that, holding preferences and technology common across countries, differences in the wealth bias account for the cross-country differences in redistribution. I recover the wealth-bias parameter for each country so that the model matches its observed redistribution. The recovered bias correlates at +0.67 with data on the political influence of wealth, and at +0.52 among countries with the same observed redistribution.

The decisive voter's wealth matters because the demand for progressivity falls with wealth. Progressivity provides insurance against earnings risk, and wealthier households pay more of its cost, so a wealthier decisive voter chooses less progressivity. General equilibrium moderates this fall. Progressivity lowers saving, which raises the interest rate and benefits wealthy households, so even a wealthy decisive voter chooses a progressive tax. The least redistributive countries therefore require a wealthier decisive voter than they would if prices did not respond.

The wealth bias is also costly in terms of welfare. Restoring one person one vote, so that the median voter decides, raises average welfare in 34 of the 37 countries, by up to 3.1% of consumption. The cost arises because the decisive voter weighs only her own benefit and cost of progressivity. The model has no country-specific tastes for redistribution, so this cost comes from the political influence of wealth.

Future work can study what determines the wealth bias, which the model takes as given.

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Appendix

Fiscal Redistribution and the Political Influence of Wealth

A Data

In this appendix, I document the data behind the three facts and the calibration. I list every series and its source, and I report the country panel behind the recovered bias.

A.1 Sources

Table A1 lists every data series, its source, and where the paper uses it. Country values are means over 2012–2021, the window of Section 2.1, with a few exceptions. The persistence statistics of Fact 2 use every year from 1975 to 2025. The wealth data of Table C2 refers to the latest survey of each source. The notes to Table B1 list the rows that depart from the window.

V-Dem combines the answers of country experts with a Bayesian measurement model (Pemstein et al., 2026), and I use its point estimates of the power indicator and the campaign-finance indicator. The question behind the power indicator targets political power, not policy outcomes.

A.2 The country panel

Table A2 reports the inputs, the fit, and the recovered bias for every country. It lets the reader check the recovery country by country. Earnings dispersion and government size enter as Section 4.2 describes, and the recovered bias is the value of the wealth-bias parameter at which the model matches observed redistribution. The model matches every country within 0.7 percentage points, with a median error of 0.19 and the largest in Slovenia (0.66). The recovered bias runs from 0.0375 in Belgium and Finland to 0.9875 in Mexico, below 0.5 in 23 countries and above it in 14.

The earnings series covers full-time employees, so it understates dispersion where informality is large, as in Mexico and Turkey. If higher dispersion raises redistribution near their recovered values, the recovered bias of these countries would be larger under their true dispersion. Part of public social expenditure is cash that the tax function delivers, so part of government size overlaps with the transfers in the model.

Table A1: Data sources.

Series	Source	Used in
Ginis before and after taxes and transfers, working age and entire population	OECD Income Distribution Database (OECD, 2026b)	R_c; Facts 1–3 (Sec. 2); Sec. 4.3; App. B.2
Earnings deciles (D9/D1, D9/D5, D5/D1)	OECD earnings distribution (OECD, 2026a)	$\sigma_{z,c}$ (Sec. 4.2); Table B1
Public social expenditure; public old-age spending	OECD Social Expenditure Database (OECD, 2026c)	g_c (Sec. 4.2); Tables B1, D2
Power by socioeconomic position; public campaign finance	V-Dem v16 (Coppedge et al., 2026)	Fact 3 (Sec. 2.4); Sec. 5.2; Tables B1, D1, D2
Disclosure of campaign donations; electoral democracy index	V-Dem v16 (Coppedge et al., 2026)	Tables D2, D1
Turnout by income quintile	Comparative Study of Electoral Systems, modules 1–5 (The Comparative Study of Electoral Systems, 2024)	Tables B1, D1; App. F.11
Political finance statutes (bans, limits, public funding, reporting)	International IDEA Political Finance Database (International IDEA, 2023)	Table D1
Public share of party income	Political Party Database (Scarrow et al., 2022)	Table D1
Left-cabinet share	Comparative Political Data Set (Armingeon et al., 2025)	Tables B1, D1
Bargaining coordination; union density	OECD/AIAS ICTWSS (OECD and AIAS, 2021)	Tables B1, D1
Electoral-stage weights (electoral plutocracy index)	Magni-Berton and Varaine (2026)	Table D1
Ethnic fractionalization	Alesina et al. (2003), via the Quality of Government Standard Dataset (Teorell et al., 2024)	Table B1
Proportional representation	Democratic Electoral Systems v4.2, Bormann and Golder (2022)	Table B1
Support for redistribution	European Values Study and World Values Survey, joint 2017–2022 wave (EVS/WVS, 2024)	Table B1
Informal output share	World Bank Informal Economy Database, Elgin et al. (2021)	Tables B1, D2
GDP growth; unemployment rate; population share 65+	World Bank, World Development Indicators (World Bank, 2026)	Fact 2 (Sec. 2.3); Table B1
GDP per capita; trade openness; human capital index	Penn World Table 10.01 (Feenstra et al., 2015)	Tables B1, D2
Earnings dynamics	GRID (Guvenen et al., 2022)	App. F.8
Tax-benefit progressivity index	Holter et al. (2019)	App. B.3
Redistribution through transfers and taxes, entire population	Leiden LIS Budget Incidence Fiscal Redistribution Dataset (Caminada et al., 2017)	App. B.3
Wealth distribution	Survey of Consumer Finances 2022 (Board of Governors of the Federal Reserve System, 2023; Kuhn and Ríos-Rull, 2025); OECD Wealth Distribution Database (Balestra and Tonkin, 2018); World Inequality Database 2022 (WID.world, 2026); Household Finance and Consumption Survey 2021 (Household Finance and Consumption Network, 2023; De Mulder et al., 2024)	Secs. 4.3 and 5.1; Table C2

Table A2: Calibrated inputs and the recovered bias, by country.

	$\sigma_{z,c}$	g_c	R	gap	p^*		$\sigma_{z,c}$	g_c	R	gap	p^*
AUS	0.478	0.183	24.2	0.22	0.4875	ISR	0.617	0.163	21.7	0.32	0.7125
AUT	0.460	0.290	34.3	0.49	0.2750	ITA	0.390	0.284	24.8	0.10	0.4000
BEL	0.352	0.287	37.6	0.06	0.0375	JPN	0.409	0.226	16.8	0.19	0.6875
CAN	0.499	0.198	23.1	0.08	0.5625	KOR	0.562	0.104	10.3	0.06	0.9125
CHE	0.397	0.163	14.7	0.08	0.7250	LTU	0.485	0.168	18.3	0.02	0.6875
CHL‡	0.599	0.122	5.3	0.28	0.9750	LUX	0.456	0.210	31.3	0.25	0.3000
CRI‡	0.482	0.123	7.3	0.04	0.9500	LVA	0.555	0.172	18.9	0.27	0.7375
CZE	0.477	0.201	31.0	0.50	0.3375	MEX‡	0.499	0.077	2.4	0.07	0.9875
DEU	0.466	0.265	27.3	0.15	0.4250	NLD	0.403	0.188	26.9	0.05	0.2875
DNK	0.368	0.294	34.5	0.10	0.1500	NOR	0.330	0.242	29.5	0.19	0.1375
ESP	0.457	0.255	26.4	0.20	0.4250	NZL	0.404	0.214	21.7	0.10	0.4750
EST	0.498	0.174	22.2	0.08	0.5750	POL	0.523	0.210	28.3	0.20	0.4375
FIN	0.335	0.302	37.1	0.37	0.0375	PRT	0.483	0.241	29.1	0.19	0.4000
FRA	0.411	0.319	33.8	0.26	0.2375	SVK	0.479	0.177	30.3	0.14	0.3250
GBR	0.481	0.238	23.1	0.01	0.5500	SVN	0.437	0.231	36.8	0.66	0.1750
GRC	0.476	0.261	28.4	0.24	0.4000	SWE	0.292	0.273	26.1	0.33	0.1625
HUN	0.512	0.199	31.9	0.40	0.3625	TUR	0.483	0.120	12.0	0.01	0.8500
IRL	0.532	0.162	38.6	0.12	0.2250	USA	0.628	0.192	18.9	0.10	0.7875
ISL	0.372	0.186	23.9	0.23	0.3250						

Notes: $\sigma_{z,c}$: dispersion of log productivity, equation (12); g_c: social expenditure, share of GDP; R: observed redistribution (%); gap: absolute model error (percentage points); p^*: the recovered bias. Means over 2012–2021 (earnings to 2023 for Iceland and Turkey). ‡Two stable equilibria, with influence concentrated at the top of the wealth distribution; the one with less progressivity, the one most consistent with observed R, is shown. *Source:* model; Table A1.